

war fanning the Roosevelt administration's fiscal and monetary policies, high-grade corporate bonds yielded just 2.75%, while blue-chip equities delivered 5.1%. Did Graham mean to say that bonds were a safer proposition than stocks? Well, he did say it. If Homer could nod, so could Graham—and so can the rest of us, whoever we are. Let that, too, be a lesson.

Near the close of his memoirs, Graham allows himself to speculate on his legacy: "If my name has any chance of being remembered by future generations—assuming that there will be future generations—it will be as inventor of the Commodity Reserve Currency Plan."³¹ Graham's plan, intermittently discussed but never implemented, was to iron out the business cycle by directing the U.S. Treasury to stabilize the price level by standing ready to buy and sell a portfolio of 30 basic raw materials at predetermined fixed prices. In effect, the gold standard would become one-thirtieth of a gold standard, with a potpourri of nongold materials furnishing the balance of the monetary collateral.

The truth is that Graham—amateur playwright, lifetime classicist, a founding spirit of the Chartered Financial Analyst movement—wrote his true legacy in the pages of this durable volume. Certainly, that would be Mr. Market's view. The \$20,000 median value of a rare first edition copy represents a nearly 10% per annum rate of return from the original, 1934 cover price of \$5.³² And if that achievement falls a little short of the 10.8% compound annual return of the Standard & Poor's 500 over the same interval, with dividends reinvested, a Graham devotee will understand why. The nontaxable dividends that *Security Analysis* has paid its four generations of readers are more precious than the kind that a stockholder gets in the mail.

³¹ *The Memoirs of the Dean of Wall Street*, p. 293.

³² AbeBooks, "Security Analysis by Benjamin Graham, First Edition," June 27, 2022.